

THOMAS, J., concurring in judgment

For these reasons, we reverse the judgment of the Court of Appeals and remand the cases for further proceedings consistent with this opinion.

*It is so ordered.*

JUSTICE THOMAS, concurring in the judgment.

The Court reaches the right conclusion: The appointment process for members of the Financial Oversight and Management Board for Puerto Rico (Board) does not violate the Appointments Clause. I cannot agree, however, with the ill-defined path that the Court takes to reach this result. I would resolve these cases based on the original public meaning of the phrase “Officers of the United States” in the Appointments Clause.

## I

The Appointments Clause provides that the President “shall nominate, and by and with the Advice and Consent of the Senate, shall appoint Ambassadors, other public Ministers and Consuls, Judges of the supreme Court, and all other Officers of the United States, whose Appointments are not herein otherwise provided for, and which shall be established by Law.” Art. II, §2, cl. 2. The Clause also permits Congress to vest the appointment of “inferior Officers” in “the President alone,” “the Courts of Law,” or “the Heads of Departments.” *Ibid.*

As I have previously explained, the original public meaning of the phrase “Officers of the United States” includes “all federal civil officials who perform an ongoing, statutory duty.” *Lucia v. SEC*, 585 U. S. 237, 254 (2018) (concurring opinion) (citing Mascott, Who Are “Officers of the United States”? 70 Stan. L. Rev. 443, 454 (2018) (Mascott)). At the founding, the term “officer” referred to “anyone who performed a continuous public duty.” 585 U. S., at 254. And the phrase “of the United States” limited the Appointments Clause to “federal” officers. *Ibid.*; see Mascott 471–479.

## II

Territorial officials performing duties created under Article IV of the Constitution are not federal officers within the original meaning of the phrase “Officers of the United States.” Since the founding, this Court has recognized a distinction between Article IV power and the powers of the National Government in Articles I, II, and III. The founding generation understood the phrase “Officers of the United States” to refer to officers exercising the powers of the National Government, not officers solely exercising Article IV territorial power. Because the Board’s members perform duties pursuant to Article IV, they do not qualify as “Officers of the United States.”

### A

The Territory Clause of Article IV provides Congress the “Power to dispose of and make all needful Rules and Regulations respecting the Territory . . . belonging to the United States.” §3, cl. 2. This power is “absolute and undisputed.” *Sere v. Pitot*, 6 Cranch 332, 337 (1810). Congress has “full and complete legislative authority over the people of the Territories and all the departments of the territorial governments.” *National Bank v. County of Yankton*, 101 U. S. 129, 133 (1880).

“No one has ever doubted the authority of congress to erect territorial governments within the territory of the United States, under the general language of the clause, ‘to make all needful rules and regulations.’” 3 J. Story, *Commentaries on the Constitution of the United States* §1319, p. 195 (1833). These governments are “the creations, exclusively, of [Congress], and subject to its supervision and control.” *Benner v. Porter*, 9 How. 235, 242 (1850).<sup>1</sup>

<sup>1</sup>The Court of Appeals attempted to draw a distinction between power exercised pursuant to territorial laws enacted by Congress and power exercised pursuant to territorial laws enacted by a territorial legislature. There is no meaningful distinction in this context. While the legislature of the Territory may establish laws for the Territories, Article IV

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Because territorial governments “are not organized under the Constitution,” they are not “subject to its complex distribution of the powers of government.” *Ibid.* Congress may give Territories “a legislative, an executive, and a judiciary, with such powers as it has been their will to assign.” *Sere*, 6 Cranch, at 337. And, since the founding, Congress has done so in ways that do not comport with the Constitution’s restrictions on the National Government. For example, Congress has delegated Article IV legislative authority to territorial officials and legislatures,<sup>2</sup> which it could not do

remains the “ultimate source” of territorial power. *Puerto Rico v. Sánchez Valle*, 579 U. S. 59, 75 (2016) (internal quotation marks omitted). Congress is the source of the “entire dominion and sovereignty” of a Territory, *Simms v. Simms*, 175 U. S. 162, 168 (1899), and therefore all territorial laws, whether congressionally enacted or territorially enacted, derive from Article IV, *Sánchez Valle*, 579 U. S., at 75 (recognizing that the “most immediate source of [the] authority” does not change the nature of the power exercised).

<sup>2</sup>See, e.g., Act of Aug. 7, 1789, 1 Stat. 51, and n. (a) (Northwest Territory); Act of May 26, 1790, ch. 14, § 1, 1 Stat. 123 (Southwest Territory); Act of Apr. 7, 1798, § 3, 1 Stat. 550 (Mississippi); Act of May 7, 1800, §§ 2, 4, 2 Stat. 59 (Indiana); Act of Mar. 26, 1804, § 4, 2 Stat. 284 (Louisiana); Act of Jan. 11, 1805, ch. 5, § 2, 2 Stat. 309 (Michigan); Act of Mar. 2, 1805, §§ 1, 2, 2 Stat. 322 (Orleans); Act of Feb. 3, 1809, §§ 2, 4, 2 Stat. 515 (Illinois); Act of June 4, 1812, § 4, 2 Stat. 744 (Missouri); Act of Mar. 3, 1817, § 4, 3 Stat. 372 (Alabama); Act of Mar. 2, 1819, § 5, 3 Stat. 494 (Arkansas); Act of Mar. 30, 1822, § 5, 3 Stat. 655 (Florida); Act of Mar. 3, 1823, § 5, 3 Stat. 751 (Florida); Act of Apr. 20, 1836, § 4, 5 Stat. 12 (Wisconsin); Act of June 12, 1838, § 4, 5 Stat. 236 (Iowa); Act of Aug. 14, 1848, § 4, 9 Stat. 324 (Oregon); Act of Mar. 3, 1849, § 4, 9 Stat. 404 (Minnesota); Act of Sept. 9, 1850, § 5, 9 Stat. 448 (New Mexico); Act of Sept. 9, 1850, § 4, 9 Stat. 454 (Utah); Act of Mar. 2, 1853, § 4, 10 Stat. 173 (Washington); Act of May 30, 1854, §§ 4–6, 22–24, 10 Stat. 278–279, 284–285 (Nebraska and Kansas); Act of Feb. 28, 1861, § 4, 12 Stat. 173 (Colorado); Act of Mar. 2, 1861, § 4, 12 Stat. 210–211 (Nevada); Act of Mar. 2, 1861, § 4, 12 Stat. 240 (Dakota); Act of Feb. 24, 1863, ch. 56, § 2, 12 Stat. 665 (Arizona); Act of Mar. 3, 1863, § 4, 12 Stat. 809 (Idaho); Act of May 26, 1864, § 4, 13 Stat. 87 (Montana); Act of July 25, 1868, § 4, 15 Stat. 179 (Wyoming); Act of May 2, 1890, § 4, 26 Stat. 83 (Oklahoma); Act of Apr. 12, 1900, § 27, 31 Stat. 82 (Puerto Rico); Act of Apr. 30, 1900, § 12, 31 Stat. 144 (Hawaii); Act of July 1, 1902, § 7, 32

with Article I legislative power. See *Whitman v. American Trucking Assns., Inc.*, 531 U. S. 457, 472 (2001); *Department of Transportation v. Association of American Railroads*, 575 U. S. 43, 67–88 (2015) (THOMAS, J., concurring in judgment). It has also established territorial courts that do not comply with Article III. See Baude, *Adjudication Outside Article III*, 133 Harv. L. Rev. 1511, 1525–1530 (2020) (analyzing territorial courts in early Territories).

The powers vested in territorial governments are distinct from the powers of the National Government. Territorial legislatures exercise the legislative power of the Territory, not Article I legislative power. *Cincinnati Soap Co. v. United States*, 301 U. S. 308, 322–323 (1937). Territorial officials exercise the executive power of the Territory, not Article II executive power. *Snow v. United States*, 18 Wall. 317, 321–322 (1873). And territorial courts exercise the judicial power of the Territory, not the “judicial power of the United States” under Article III. *American Ins. Co. v. 356 Bales of Cotton*, 1 Pet. 511, 546 (1828); *Clinton v. Englebrecht*, 13 Wall. 434, 447 (1872).

## B

Given the distinction between territorial and national powers, the question becomes whether officers exercising Article IV territorial power are officers “of the United States” under the original meaning of the Appointments Clause. They are not. Both the text of the Appointments Clause and historical practice support this conclusion.

## 1

The text of the Appointments Clause indicates that “Officers of the United States” refers to officers exercising the

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Stat. 693–694 (Philippines); Act of Aug. 24, 1912, § 4, 37 Stat. 513 (Alaska); Act of June 22, 1936, § 5, 49 Stat. 1808 (Virgin Islands); Act of Aug. 1, 1950, § 10, 64 Stat. 387 (Guam).

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powers of the National Government, not officers exercising territorial power. The Clause applies to the appointment of “Ambassadors, other public Ministers and Consuls, Judges of the supreme Court, and all other Officers of the United States.” Art. II, § 2, cl. 2. Each of the officers specifically mentioned in the Clause—“Ambassadors,” “public Ministers,” “Consuls,” and “Judges of the supreme Court”—holds an office that exercises national power. *Ibid.* Although not dispositive, this fact suggests that the phrase “and all other Officers of the United States” refers to “other” officers of the National Government. See *Beecham v. United States*, 511 U. S. 368, 371 (1994) (“That several items in a list share an attribute counsels in favor of interpreting the other items as possessing that attribute as well”); see also A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 195–198 (2012) (discussing the “associated-words canon,” also known as *noscitur a sociis*).

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Historical evidence from the founding era confirms that officers exercising Article IV territorial power are not “Officers of the United States.” The Court acknowledges some of this evidence and surveys the history of appointments in Puerto Rico. *Ante*, at 459–464. I, however, would give more weight and focus to the practices of the First Congress, which provide “powerful evidence of the original understanding of the Constitution.” *Comptroller of Treasury of Md. v. Wynne*, 575 U. S. 542, 580 (2015) (THOMAS, J., dissenting) (compiling cases relying on the practices of the First Congress to interpret the Constitution).

Before the Constitution’s ratification, the Northwest Ordinance of 1787 set up a territorial government for the Northwest Territory. Act of Aug. 7, 1789, 1 Stat. 51, n. (a) (reproducing the Northwest Ordinance of 1787 enacted by the Continental Congress). This ordinance granted Congress the power to appoint the Northwest Territory’s Governor,

secretary, judges, and general militia officers. *Ibid.* And it provided the Governor the power to appoint “magistrates and other civil officers” of the Territory. *Ibid.*

In 1789, after the ratification of the Constitution, the First Congress amended the Northwest Ordinance “to adapt [it] to the present Constitution of the United States.” *Id.*, at 51. One of these amendments provided that “the President shall nominate, and by and with the advice and consent of the Senate, shall appoint all officers which by the said ordinance were to have been appointed by the United States in Congress assembled, and all officers so appointed shall be commissioned by him.” *Id.*, at 53. The officers not previously designated for congressional appointment, including “magistrates and other civil officers,” remained subject to appointment by the Governor. *Id.*, at 51, n. (a), and 53. These amendments (and lack thereof) provide strong evidence that the First Congress understood the distinction between territorial officers and officers of the National Government.

As the Court recognizes, Congress revised the Northwest Ordinance to require “a Presidential-appointment, Senate-confirmation process for high-level territorial appointees who assumed *federal, as well as local, duties.*” *Ante*, at 458 (emphasis added). For example, Congress revised the appointment process for the Governor of the Northwest Territory, who performed duties under the powers of the National Government in addition to his Article IV territorial duties. The Governor “discharg[ed] the duties of superintendent of Indian affairs,” Act of Sept. 11, 1789, ch. 13, § 1, 1 Stat. 68, which required him to execute congressional regulations, manage trade with Indians, and obey instructions received from the Secretary of War with respect to his duties as superintendent. See Ordinance for the Regulation of Indian Affairs (Aug. 7, 1786); see also F. Prucha, *American Indian Policy in the Formative Years: The Indian Trade and Intercourse Acts 1790–1834*, p. 36 (1962). The Governor negoti-

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ated treaties with Indians on behalf of the United States. See 2 *The Papers of George Washington: Presidential Series* 196–198 (D. Twohig ed. 1987); 33 *Journals of the Continental Congress, 1774–1789*, p. 711 (R. Hill ed. 1936). He even had the power to call on the militia of the States in the President’s name to prevent “incursions of the hostile Indians.” 2 *The St. Clair Papers* 125 (W. Smith ed. 1882). Thus, at least with respect to the Governor, who wielded powers of the National Government, the First Congress appears to have modified the Northwest Ordinance to ensure its compliance with the Appointments Clause.

In contrast, Congress did not revise the process for appointing “magistrates and other civil officers,” who remained subject to appointment by the Governor. 1 Stat. 51, n. (a), and 53. The “magistrates and other civil officers” of the Northwest Territory included justices of the peace, clerks of the court, sheriffs, coroners, surveyors, and notaries. 3 *The Territorial Papers of the United States: The Territory Northwest of the River Ohio, 1787–1803*, pp. 304–307 (C. Carter ed. 1934). If these officials were exercising a statutory duty under the powers of the National Government, they would have certainly been considered “Officers of the United States” under the Appointments Clause. See Mascott 484–507, 510–515. “The Founders considered individuals to be officers even if they performed only ministerial statutory duties—including recordkeepers, clerks, and tidewaiters (individuals who watched goods land at a customhouse).” *Lucia*, 585 U. S., at 254 (THOMAS, J., concurring). But “the powers and duties of magistrates and other civil officers [were] regulated and defined by the [territorial] assembly,” 1 Stat. 51, n. (a), and therefore were necessarily exercised pursuant to Article IV, see *supra*, at 474–476. It is evident that the First Congress did not consider these officials to be “Officers of the United States,” because it allowed appointment by an official who is not the “head of a department.” See *United States v. Germaine*, 99 U. S. 508, 510 (1879).



One cannot plausibly conclude that the First Congress—seeking to “adapt” the Northwest Ordinance to the Constitution, 1 Stat. 51—prescribed methods of appointing territorial officers that violated the Appointments Clause. Rather, the First Congress recognized the distinction between territorial and national powers, see *supra*, at 477–479, and understood that officers performing duties pursuant to only Article IV territorial powers are not officers “of the United States.” For these reasons, I would hold that the original meaning of the phrase “Officers of the United States” does not include territorial officers exercising only powers conferred under Article IV.

C

Under the original meaning of the Appointments Clause, the Board’s members are not “Officers of the United States.” They are territorial officers exercising power granted under Article IV.

The Board is “an entity within the territorial government,” 48 U.S.C. §2121(c)(1), created “pursuant to article IV, section 3 of the Constitution of the United States,” §2121(b)(2), and funded by the Territory, §2127(b). The members of the Board perform duties involving the oversight of Puerto Rico’s finances and fiscal reform efforts, §§2141–2152, and the representation of Puerto Rico in debt restructuring proceedings, §§2161–2177. Because “they do not exercise the national executive power,” “national judicial power,” or national legislative power, the Board’s members are “Article IV executives,” not Officers of the United States under the Appointments Clause. See *Freytag v. Commissioner*, 501 U.S. 868, 913 (1991) (Scalia, J., concurring in part and concurring in judgment) (emphasis deleted).

The Court rightfully acknowledges the territorial nature of the Board’s duties. *Ante*, at 465–471. But in the process, the Court sets up a dichotomy between officers with “primarily local versus primarily federal” duties. *Ante*, at 468 (emphasis deleted). I cannot agree with this amorphous test.



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As an initial matter, the Court need not decide whether an officer exercising both national and Article IV powers qualifies as an “Officer of the United States.” The Board’s members have responsibility for ongoing statutory duties that are entirely within the scope of Article IV. See *ante*, at 465–471.

Resolving this unnecessary issue is especially problematic because the original meaning of the phrase “Officers of the United States” arguably includes all officers exercising the powers of the National Government, even if those officers also exercise power vested under Article IV. The Governor of the Northwest Territory, for example, seems to have performed “primarily local” duties, yet the First Congress believed the Governor was an “Officer of the United States” subject to the restrictions of the Appointments Clause. *Supra*, at 478–479; see also *ante*, at 458–459.

The Court fails to engage with this point. Indeed, it fails to provide any foundation at all for its “primarily local” rule. The only analysis to be found is a conclusory statement that *Palmore v. United States*, 411 U. S. 389 (1973), “provides a rough analogy.” *Ante*, at 469. But drawing a rule from a case that is “no[t] . . . directly on point,” *ibid.*, without even analyzing the underlying reasoning of that case, is not sound constitutional interpretation. And favoring a tangentially related decision from 1973 over the practices of the First Congress is certainly not “more faithful to the [Appointments] Clause’s original meaning,” *ante*, at 471.

Finally, the Court fails to provide any explanation for what makes an officer’s duties “primarily local.” *Ante*, at 465–471. Is it the relative importance of the duties? Or is it the number of duties exercised pursuant to each power? And what ratio is required for duties to be primarily local? The Court’s opinion has no answers and does not even acknowledge the questions. And, regardless of how these questions are resolved, the primarily local test allows Congress to evade the requirements of the Appointments Clause by sup-

plementing an officer's federal duties with sufficient territorial duties, such that they become "primarily local," whatever that means.

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Today's decision reaches the right outcome, but it does so in a roundabout way that departs from the original meaning of the Appointments Clause. I would hold that the Board's members are not "Officers of the United States" because they perform ongoing statutory duties under only Article IV. I therefore cannot join the Court's opinion and concur only in the judgment.

JUSTICE SOTOMAYOR, concurring in the judgment.

Nearly 60 years ago, the people of Puerto Rico "embark[ed] on [a] project of constitutional self-governance" after entering into a compact with the Federal Government. *Puerto Rico v. Sánchez Valle*, 579 U.S. 59, 64 (2016). At the conclusion of that endeavor, the people of Puerto Rico established, and the United States Congress recognized, a "republican form of government" "pursuant to a constitution of [the Puerto Rican population's] own adoption." Act of July 3, 1950, ch. 446, §§ 1, 2, 64 Stat. 319; see also Act of July 3, 1952, 66 Stat. 327. One would think the Puerto Rican home rule that resulted from that mutual enterprise might affect whether officers later installed by the Federal Government are properly considered officers of Puerto Rico rather than "Officers of the United States" subject to the Appointments Clause. U.S. Const., Art. II, § 2, cl. 2. Yet the parties do not address that weighty issue or any attendant questions it raises. I thus do not resolve those matters here and instead concur in the judgment.

I nevertheless write to explain why these unexplored issues may well call into doubt the Court's conclusion that the members of the Financial Oversight and Management Board for Puerto Rico are territorial officers not subject to the "significant structural safeguards" embodied in the Appoint-

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ments Clause. *Edmond v. United States*, 520 U. S. 651, 659 (1997). Puerto Rico’s compact with the Federal Government and its republican form of government may not alter its status as a Territory. But territorial status should not be wielded as a talismanic opt out of prior congressional commitments or constitutional constraints.

## I

### A

Puerto Rico became a Territory of the United States in 1898, pursuant to a treaty concluding the Spanish-American War. After a series of temporary military governing measures, Congress passed the Foraker Act of 1900, establishing a civil government exercising significant authority over Puerto Rico’s internal territorial affairs. Organic Act of 1900, ch. 191, 31 Stat. 77. Over time, Congress put in place incremental measures of autonomy, such as by granting U. S. citizenship to the island’s inhabitants in 1917 and providing for the popular election of certain territorial officials the same year. See *Sánchez Valle*, 579 U. S., at 63–64; Organic Act of 1917, ch. 145, 39 Stat. 951. Yet throughout the early years of Puerto Rico’s territorial status, “Congress retained major elements of sovereignty,” and “[i]n cases of conflict, Congressional statute, not Puerto Rico law, would apply no matter how local the subject.” *Cordova & Simonpietri Ins. Agency Inc. v. Chase Manhattan Bank N. A.*, 649 F. 2d 36, 39 (CA1 1981) (Breyer, J., for the court).

By 1950, however, international and local “pressures for greater autonomy,” *Calero-Toledo v. Pearson Yacht Leasing Co.*, 416 U. S. 663, 671 (1974), prompted Congress to pass Public Law 600, 64 Stat. 319, a measure “enabl[ing] Puerto Rico to embark on the project of constitutional self-governance,” *Sánchez Valle*, 579 U. S., at 64. “[R]ecognizing” and “affirm[ing] the ‘principle of government by consent,’” Public Law 600 “offered the Puerto Rican public a ‘compact,’ under which they could ‘organize a government

pursuant to a constitution of their own adoption.’” *Id.*, at 64, 76 (quoting Act of July 3, 1950, § 1, 64 Stat. 319); see also 579 U. S., at 64 (Public Law 600 “[d]escrib[ed] itself as ‘in the nature of a compact’” (quoting § 1, 64 Stat. 319)). Under the terms of the compact, Public Law 600 itself was submitted to the people of Puerto Rico, who voted to approve the law through a popular referendum. See Leibowitz, *The Applicability of Federal Law to the Commonwealth of Puerto Rico*, 56 Geo. L. J. 219, 222–223 (1967). Delegates were then elected to a constitutional convention to draft a constitution, and in a special referendum, the draft constitution was submitted to the people of Puerto Rico for approval. *Id.*, at 223.

In 1952, “both Puerto Rico and the United States ratified Puerto Rico’s Constitution.” *Sánchez Valle*, 579 U. S., at 87 (BREYER, J., dissenting). The people of Puerto Rico first approved the draft Constitution in a referendum. Congress then approved the draft Constitution with modifications, noting the caveat that it “shall become effective” only when Puerto Rico “declare[s] in a formal resolution its acceptance.” 66 Stat. 327–328. Finally, the constitutional convention approved the modified Constitution, and the people of Puerto Rico subsequently ratified modifications in another referendum. Thus, although the terms of the compact provided for Congress’ approval, “when such constitution did go into effect pursuant to the resolution of approval by the Congress, it became what the Congress called it, a ‘constitution’ under which the people of Puerto Rico organized a government of their own adoption.” *Figueroa v. Puerto Rico*, 232 F. 2d 615, 620 (CA1 1956) (citation omitted). “The Commonwealth’s power, the [Puerto Rico] Constitution proclaims, ‘emanates from the people and shall be exercised in accordance with their will, within the terms of the compact agreed upon between the people of Puerto Rico and the United States.’” *Sánchez Valle*, 579 U. S., at 65.

With the passage of Public Law 600 and the adoption and recognition of the Puerto Rico Constitution, “the United

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States and Puerto Rico . . . forged a unique political relationship, built on the island’s evolution into a constitutional democracy exercising local self-rule.” *Id.*, at 63; cf. *Calero-Toledo*, 416 U. S., at 672 (noting with approval the view that, after Public Law 600, Puerto Rico became “a political entity created by the act and with the consent of the people of Puerto Rico and joined in union with the United States of America under the terms of the compact” (quoting *Mora v. Mejias*, 206 F. 2d 377, 387 (CA1 1953))).

Of critical import here, the Federal Government “relinquished its control over [Puerto Rico’s] local affairs[,] grant[ing] Puerto Rico a measure of autonomy comparable to that possessed by the States.” *Examining Bd. of Engineers, Architects and Surveyors v. Flores de Otero*, 426 U. S. 572, 597 (1976). Indeed, the very “purpose of Congress in the 1950 and 1952 legislation was to accord to Puerto Rico the degree of autonomy and independence normally associated with States of the Union.” *Id.*, at 594; see also S. Rep. No. 1779, 81st Cong., 2d Sess., 2 (1950) (Public Law 600 was “designed to complete the full measure of local self-government in” Puerto Rico); H. R. Rep. No. 2275, 81st Cong., 2d Sess., 6 (1950) (Public Law 600 was a “reaffirmation by the Congress of the self-government principle”).<sup>1</sup> The upshot is that “Puerto Rico, like a State, is an autonomous political entity, “sovereign over matters not ruled by the [Federal] Constitution.”” *Rodriguez v. Popular Democratic Party*, 457 U. S. 1, 8 (1982) (quoting *Calero-Toledo*, 416 U. S., at 673). And only by holding out that guarantee to the United Nations has the Federal Government been able to disclaim certain continuing obligations it previously owed with respect

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<sup>1</sup>To be sure, Public Law 600 reserved certain limited powers to Congress (some of which were soon repealed). See *ante*, at 463. But those narrow reservations of federal control did not purport to diminish the full measure of territorial self-governance conferred upon the people of Puerto Rico through Public Law 600 and the Puerto Rico Constitution. See 39 Stat. 953; 64 Stat. 319–320.

to Puerto Rico under the United Nations Charter. See *infra*, at 491–492.

B

In the decades that followed, Puerto Rico underwent further changes as a Commonwealth. For many years, the island experienced dynamic growth, increasing its gross national product more than fourfold from 1950 to 1971. Cheatham, Council on Foreign Relations, Puerto Rico: A U. S. Territory in Crisis (Feb. 13, 2020). In 1976, after the revised Federal Tax Code conferred preferential tax treatment on productive industries in Puerto Rico, Puerto Rico developed robust pharmaceutical and manufacturing sectors. Issacharoff, Bursak, Rennie, & Webley, What Is Puerto Rico? 94 Ind. L. J. 1, 27 (2019).

Eventually, however, the island and its people confronted several economic setbacks. Congress repealed Puerto Rico's favorable tax credits, and manufacturing growth deflated, precipitating a prolonged recession. Steady outmigration correlated with persistently high unemployment rates greater than 8 percent. Dept. of Labor, Bureau of Labor Statistics, Databases, Tables & Calculators by Subject (May 28, 2020). Deprived of its primary sources of income, the Commonwealth began borrowing heavily. The island's outstanding debts rose to approximately \$70 billion, a sum greater than its annual economic output. Puerto Rico's credit ratings were downgraded to junk levels, D. Austin, Congressional Research Service, Puerto Rico's Current Fiscal Challenges 4, 13 (June 3, 2016), rendering borrowing practically impossible. Without any realistic ability to set its finances on the right course, the island declared bankruptcy in 2016.

Months later, Hurricane Maria made landfall, causing immense devastation and a humanitarian emergency the likes of which had not been seen in over a century. The island suffered thousands of casualties and an estimated \$90 billion in damages. Most recently, significant earthquakes have

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further rattled an already shaken population and economy still recovering from the impact of Hurricane Maria. Robles, Months After Puerto Rico Earthquakes, Thousands Are Still Living Outside, N. Y. Times, Mar. 1, 2020.

## C

Congress passed the Puerto Rico Oversight, Management, and Economic Stability Act (PROMESA), 130 Stat. 549, 48 U. S. C. §2101 *et seq.*, in the midst of Puerto Rico’s dramatic reversal of fortune, with the aim of mitigating the island’s “severe economic decline,” see 48 U. S. C. §2194(m)(1). To that end, the statute establishes a Financial Oversight and Management Board to oversee the island’s finances and restructure its debts. See *ante*, at 454; Issacharoff, 94 Ind. L. J., at 30–31.

The Board’s decisions have affected the island’s entire population, particularly many of its most vulnerable citizens. The Board has ordered pensions to be reduced by as much as 8.5 percent, a measure that threatens the sole source of income for thousands of Puerto Rico’s poor and elderly. Walsh & Russell, \$129 Billion Puerto Rico Bankruptcy Plan Could Be Model for States, N. Y. Times, Sept. 29, 2019. Other proposed cuts take aim at already depleted healthcare and educational services. It is under the yoke of such austerity measures that the island’s 3.2 million citizens now chafe.

PROMESA does not provide for the appointment of Board members according to the straightforward methods set out in the Appointments Clause. U. S. Const., Art. II, §2, cl. 2 (requiring principal “Officers of the United States” to be nominated by the President, with Senate advice and consent). Instead, the statute prescribes a labyrinthine procedure by which the Speaker of the House, majority leader of the Senate, minority leader of the House, and minority leader of the Senate each submit to the President separate lists with any number of candidates; and the President, in turn,



selects individuals from each of those lists, plus an individual in his sole discretion. See § 101(e), 130 Stat. 554–555.<sup>2</sup> With only one exception, then, the President is not “singly and absolutely” responsible for any members of the Board. The Federalist No. 77, p. 461 (C. Rossiter ed. 1961) (A. Hamilton) (Appointments Clause ensures that “[t]he blame of a bad nomination . . . fall[s] upon the President singly and absolutely”). And with no exceptions, the Senate fails to advise or consent to the President’s selections.

Despite the Board’s wide-ranging, veto-free authority over Puerto Rico, the solitary role PROMESA contemplates for Puerto Rican-selected officials is this: The Governor of Puerto Rico sits as an ex officio Board member without any voting rights. § 101(e)(3), 130 Stat. 555. No individual within Puerto Rico’s government plays any part in determining which seven members now decide matters critical to the island’s financial fate.

## II A

In concluding that the Board members are territorial officers not subject to the strictures of the Appointments Clause, the Court does not meaningfully address Puerto Rico’s history or status. Nor need it, as the parties do not discuss the potential consequences that Congress’ recognition of

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<sup>2</sup>Specifically, PROMESA provides that “[t]he Board shall be comprised of one Category A member, one Category B member, two Category C members, one Category D member, one Category E member, and one Category F member.” § 101(e)(1)(B), 130 Stat. 554. The Speaker of the House submits “separate, non-overlapping list[s]” for the Category A and Category B members, the majority leader for the Senate submits a list for the two Category C members, the minority leader of the House submits a list for the Category D member, and the minority leader of the Senate submits a list for the Category E member. § 101(e)(2)(A), *id.*, at 554–555. Finally, “the Category F member may be selected in the President’s sole discretion.” § 101(e)(2)(A)(vi), *id.*, at 555. Many other conditions apply to the lists submitted and the individuals who may appear on them. See generally §§ 101(e)–(f), *id.*, at 554–556.

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complete self-government decades ago may have on the Appointments Clause analysis. But in my view, however one distinguishes territorial officers from federal officers (whether under the Court’s “primarily local” test, *ante*, at 467, or some other standard), the longstanding compact between the Federal Government and Puerto Rico raises grave doubts as to whether the Board members are territorial officers not subject to the Appointments Clause. When Puerto Rico and Congress entered into a compact and ratified a constitution of Puerto Rico’s adoption, Congress explicitly left the authority to choose Puerto Rico’s governmental officers to the people of Puerto Rico. That turn of events seems to give to Puerto Rico, through a voluntary concession by the Federal Government, the exclusive right to establish Puerto Rico’s own territorial officers.

No less than the bedrock principles of government upon which this Nation was founded ground this proposition. When the Framers resolved to build this Nation on a republican form of government, they understood that the American people would have the authority to select their own governmental officers. See, *e.g.*, The Federalist No. 39, at 241 (J. Madison) (“[W]e may define a republic to be . . . a government which derives all its powers directly or indirectly from the great body of the people”); A. Amar, *America’s Constitution: A Biography* 278–279 (2005) (“[T]he general understanding of republicanism across America” at the founding embraced a concept of government “in which ‘the people are sovereign’; in which ‘the people are consequently the fountain of all power’; in which ‘all authority should flow from the people’”). Core to the 1950s “compact” between the Federal Government and Puerto Rico was that Puerto Rico’s eventual constitution “shall provide a republican form of government.” §2, 64 Stat. 319 (codified in 48 U. S. C. § 731c). Thus, “resonant of American founding principles,” the Puerto Rico Constitution set forth a tripartite government “‘republican in form’ and ‘subordinate to the sovereignty of

the people of Puerto Rico.’” *Sánchez Valle*, 579 U. S., at 65 (quoting P. R. Const., Art. I, § 2); see also *Torres v. Puerto Rico*, 442 U. S. 465, 470 (1979). “[T]he distinguishing feature” of such “republican form of government,” this Court has recognized over and over again, “is the right of the people to choose their own officers for governmental administration, and pass their own laws in virtue of the legislative power reposed in representative bodies, whose legitimate acts may be said to be those of the people themselves.” *In re Duncan*, 139 U. S. 449, 461 (1891) (discussing the republican governments of the States); see also *Pacific States Telephone & Telegraph Co. v. Oregon*, 223 U. S. 118, 149 (1912) (same).

Thus, whatever authority the Federal Government exercised to select territorial officers for Puerto Rico before Congress recognized Puerto Rico’s republican form of government, the authority “to choose [Puerto Rico’s] own officers for governmental administration” now seems to belong to the people of Puerto Rico. *Duncan*, 139 U. S., at 461. Indeed, however directly responsible the Federal Government was for Puerto Rico’s local affairs before Public Law 600, those matters might be said to “now proceed” in the first instance “from the Puerto Rico Constitution as ‘ordain[ed] and establish[ed]’ by ‘the people.’” Cf. *Sánchez Valle*, 579 U. S., at 75 (quoting P. R. Const., Preamble) (acknowledging “that the Commonwealth’s power to enact and enforce criminal law now proceeds . . . from the Puerto Rico Constitution,” “mak[ing] the Puerto Rican populace . . . the most immediate source of such authority”).

The developments of the early 1950s were not merely symbolic either; this Court has recognized that the paradigm shift in relations between Puerto Rico and the Federal Government carried legal consequences. In *Calero-Toledo*, for instance, this Court held that the “enactments of the Commonwealth of Puerto Rico” were “‘State statute[s]’” within the meaning of a federal law requiring a three-judge court panel to consider any action seeking to enjoin a “‘State stat-

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ute.’” 416 U. S., at 675–676. The Court reasoned that Puerto Rico was entitled to similar treatment as the States under the federal law, due to “significant changes in Puerto Rico’s governmental structure” in the early 1950s. See *id.*, at 670–674. For similar reasons, this Court has recognized on multiple other occasions that Puerto Rico is akin to a State in key respects. See, e. g., *Flores de Otero*, 426 U. S., at 597 (Congress granted Puerto Rico “a measure of autonomy comparable to that possessed by the States”); *Rodriguez*, 457 U. S., at 8 (“Puerto Rico, like a state, is an autonomous political entity”); see also *Sánchez Valle*, 579 U. S., at 82 (BREYER, J., dissenting) (“[T]he parallels between admission of new States and the creation of the Commonwealth [of Puerto Rico] are significant”).

The compact also had international ramifications, as the Federal Government repeatedly represented at the time. Shortly after the ratification and approval of the Puerto Rico Constitution, federal officials certified to the United Nations that, for Puerto Rico, the United States no longer needed to comply with certain reporting obligations under the United Nations Charter regarding territories “whose peoples have not yet attained a full measure of self-government.” Charter of the United Nations, 59 Stat. 1048, Art. 73, June 26, 1945, T. S. No. 993 (U. N. Charter). According to federal officials, that was because the people of Puerto Rico now had “complete autonomy in internal economic matters and in cultural and social affairs under a Constitution adopted by them and approved by the Congress.” Memorandum by the Government of the United States of America Concerning the Cessation of Transmission of Information Under Article 73(e) of the Charter With Regard to the Commonwealth of Puerto Rico, in A. Fernós-Isern, *Original Intent in the Constitution of Puerto Rico* 153 (2d ed. 2002). To the extent federal law had previously “directed or authorized interference with matters of local government by the Federal Government,” federal officials elaborated, “[t]hose laws . . . ha[d] been re-

pealed.” *Ibid.*; see also *ibid.* (“Congress has agreed that Puerto Rico shall have, under [the Puerto Rico] Constitution, freedom from control or interference by the Congress in respect of internal government and administration”).

Based on those explicit representations, the United Nations General Assembly declared that the people of Puerto Rico “ha[d] been invested with attributes of political sovereignty which clearly identify the status of self-government attained . . . as that of an autonomous political entity.” G. A. Res. 748, U. N. GAOR, 8th Sess., Supp. No. 17, U. N. Doc. A/2630 (Nov. 27, 1953). And consistent with that declaration, the Federal Government promptly stopped complying with the Charter’s reporting obligations with respect to Puerto Rico (and has never since recommenced). Thus, in the eyes of the international community looking in, as well as of the Federal Government looking out, Puerto Rico has long enjoyed autonomous reign over its internal affairs. Indeed, were the Federal Government’s representations to the United Nations merely aspirational, the United States’ compliance with its international legal obligations would be in substantial doubt. See Lawson & Sloane, *The Constitutionality of Decolonization by Associated Statehood: Puerto Rico’s Legal Status Reconsidered*, 50 Boston College L. Rev. 1123, 1127 (2009) (arguing that if Puerto Rico remains “just another territory subject to Congress’s plenary power under the Territories Clause,” “the United States . . . is in violation of its international legal obligations vis-à-vis Puerto Rico”).

There can be little question, then, that the compact altered the relationship between the Federal Government and Puerto Rico. At a minimum, the post-compact developments, including this Court’s precedents, indicate that Congress placed in the hands of the Puerto Rican people the authority to establish their own government, replete with officers of their own choosing, and that this grant of self-government was not an empty promise. That history prompts serious questions as to whether the Board members